

⚠ Trading gold, forex and CFDs on margin carries a high level of risk and you could lose more than your initial deposit. 70–80% of retail investor accounts lose money when trading CFDs. Past performance is not indicative of future results. All content is for education only and is not financial advice.

FREE SNIPPET · MODULE 02

THE REAL COST OF A TRADE

Before a strategy can make anything, the arithmetic has to allow it. Pip value, spread, leverage, lot size — and the one number you set before every entry.

1%

Risk per setup
maximum

100%

Costs you control
size and stop

70–80%

Retail accounts that lose

XAUUSD · Reviewed by Sam · Education only

WHAT A PIP IS WORTH

On gold, one lot is 100 ounces and one pip is a 0.10 move in price. That gives you the only three numbers you need to remember. These are broker contract specifications, not results.

0.01 LOT — MICRO

\$0.10 / pip

0.10 LOT — MINI

\$1.00 / pip

1.00 LOT — STANDARD

\$10.00 / pip

Read it the other way and it becomes useful: a 60 pip stop loss at 0.10 lot risks 60 pips of price and \$60 of account. Change the lot, not the stop.

Spread and commission — paid at entry, every time

Your cost is charged the moment you are filled, and gold's spread is not constant. It widens at the session open, it widens around news, and it widens when liquidity thins. A 30 pip spread against a 60 pip stop loss has taken half your risk before price has moved at all.

- Check the live spread before every entry, not once a month.
- A stop loss under 40 pips on gold is mostly spread. Widen the stop or skip the trade — never shrink the stop to fit the cost.
- Count the spread into your risk-reward before you decide it clears 1:1.5.

LEVERAGE AND MARGIN, HONESTLY

Leverage is the most misunderstood number on a trading account, and the misunderstanding is expensive.

WHAT LEVERAGE ACTUALLY DOES

It sets how much margin the broker holds against your position. That is the whole job. Higher leverage means less margin held, so more of your balance stays free.

WHAT LEVERAGE DOES NOT DO

It does not set your risk. Your risk is lot size multiplied by stop distance, full stop. Leverage of 1:500 on 0.01 lot risks less than 1:50 on 1.00 lot, every single time.

WHERE IT BITES

High leverage lets you open a size your stop loss cannot survive. The leverage did not do that — it just stopped standing in your way. Margin call is the symptom; lot size was the disease.

FIGURE 1

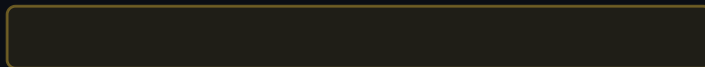
SAME 1% RISK · THREE STOP DISTANCES



40 pip stop → bigger lot



80 pip stop → half that lot



150 pip stop → smallest lot

Schematic. The risk stays at 1%. The stop distance decides the lot size, and nothing else gets a vote.

WHY MOST RETAIL ACCOUNTS LOSE

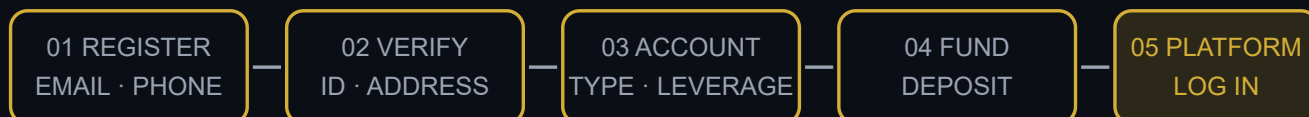
Between 70 and 80% of retail CFD accounts lose money. Almost none of them lose it to a bad strategy. They lose it to four things, all of which are arithmetic.

- 01 No stated risk per trade. Size is chosen by how the setup feels.
- 02 Costs ignored, so a strategy that never cleared the spread gets run for months.
- 03 Size raised after wins and after losses, for opposite reasons, both wrong.
- 04 No sample. Twelve trades and a verdict, when twelve trades is noise.

Opening the account

Five steps, the same everywhere. Have your documents ready before you start and it takes one sitting.

FIGURE 2



DEMO ACCOUNT FIRST — LIVE ONLY AFTER THE DEMO STANDARD IS CLEARED

Schematic of the general steps. Open the demo alongside the live account and use the demo first.

TWO WAYS IN

Same ranks, two routes. Pick one.

ROUTE A — OPEN AN ACCOUNT UNDER OUR LINK

Malaysia · Singapore · Brunei

hfm-malaysia.com

Indonesia — open a VPN first

hfm-trade-ind.com

Anywhere else — ask Sam

t.me/bro_sam88

ROUTE B — KEEP YOUR OWN BROKER

Stay where you are and enlist directly. Your money stays in your own account either way, and the ranks are the same on both routes.

RISK WARNING

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